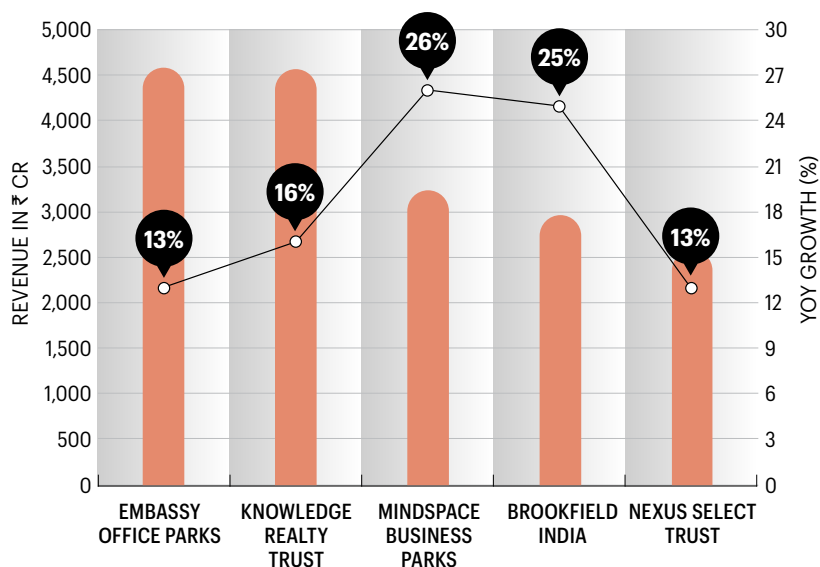


KEY FINANCIAL METRICS



NOTE DATA AS ON MAY 29, 2026

SOURCE COMPANY PRESENTATIONS FOR FY26

back. These five REITs have collectively distributed a whopping ₹8,907 crore to the 4,25,000-unit holders in FY26 as dividends. Riding the seemingly insatiable demand for office spaces and retail outlets in malls, REITs have seen their incomes and margins expand. Regulatory support from the Securities and Exchange Board of India (Sebi) in recognising these instruments as equity-like investments, along with favourable dividend taxation and inherent safeguards of REIT structures, have significantly boosted their appeal among investors.

While the geographical tension in West Asia and business disruptions due to the rapid adoption of Artificial Intelligence (AI),

particularly in the technology sector, pose certain challenges, REITs seem well-positioned to navigate these headwinds.

PRIMING UP

REITs mainly focus on Grade A assets that are premium, usually located in prime locations or central business districts of metros, with advanced technological infrastructure and energy efficient sustainable buildings often adhering to ESG standards. Leading domestic companies, multinational firms, technology heavyweights, global banking and financial services majors lease spaces in these grade A offices.

A notable trend over the past five to seven years has been the rapid

expansion of Global Capability Centres (GCCs) in India. These rank among the largest occupiers of Grade A office space in the country and have emerged as a significant source of rental income for India's listed REITs.

A report from commercial real estate services and investment firm CBRE indicates that by CY2028, the gross Grade A office spaces absorption would hit 100 million sqft, while the supply is likely to be only 79 million sqft.

"The Grade A demand appears to be durable, not frothy. ANAROCK reports net absorption was 58.2 million sq ft in 2025 and rentals grew 6% to ₹92 per sqft. At the same time, vacancy has declined to 15.5% in Q1, 2026," says Peush Jain, Managing Director, Commercial Leasing & Advisory, ANAROCK Group.

A report by Nasscom-Zinnov predicts that the number of GCCs in India would increase from 1,700 in FY24 to 2,200 by FY30 and the market size would rise from \$65 billion to \$100 billion over the same period. Despite all these positive outlooks, could the disruption in businesses due to AI and potentially lower workforce intake affect demand for offices?

Ramesh Nair, CEO & MD, Mindspace REIT, does see AI affecting demand. "The AI narrative has been active for the last three years, but office demand has continued to grow during that period. We have also seen some of the companies driving AI adoption continue to take office space in India, and large IT services firms that gave up space during Covid come back and lease more space. We believe AI is more likely to accelerate the flight to quality than create broad-based office demand destruction," says Nair.